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Vanessa A. Countryman, Secretary
U.S. Securities and Exchange Commission
100 F Street NE, Washington, DC 20549-1090

Re: Comment on Proposed Rule, The Trade-Through Rule and Locked and Crossed Markets Provisions of Regulation NMS (File No. S7-2026-20; Release No. 34-105655)

Dear Ms. Countryman:

I write in response to the Commission's proposal to rescind Rule 611, the trade-through rule, and Rule 610(e), the locked and crossed markets provision, of Regulation NMS.[1] I am the founder and financial advisor at Treveri Capital LLC. Before my work as an adviser, I was an electronic floor broker at the Pacific Exchange, and I have followed Regulation NMS closely since its adoption. I have spent more than twenty years in the markets, including time at the Pacific Stock Exchange and as a vice president of sales at a major wirehouse. I comment as someone who has worked inside the market structure this proposal would dismantle, and who serves retail investors today.

My position is straightforward. The Commission's diagnosis is largely correct, but its remedy is wrong. The 2005 framework has not delivered what it promised, and the migration of volume into the dark is real. Rescinding Rule 611 without replacing it, however, would remove the only cross-venue price-discovery discipline in the equity markets at the precise moment that tokenized securities are arriving on venues that reference no public quote at all. The better course is not to abolish protection but to rebuild it correctly, around a consolidated displayed order book in which lit orders have strict priority, so that the act of showing a quote is finally rewarded. I set out the argument below.

I. The Commission's Diagnosis Is Sound

[1]The Trade-Through Rule and Locked and Crossed Markets Provisions of Regulation NMS, Release No. 34-105655, File No. S7-2026-20, RIN 3235-AN50 (June 11, 2026). Comments are due on or before August 17, 2026.

Rule 611 was adopted in 2005 as the centerpiece of Regulation NMS, and a stated goal was to incentivize displayed liquidity by protecting the best displayed quotations against trade-throughs.[2] Two decades later, that goal has not been met. Off-exchange trading now regularly exceeds half of total volume, and the share of on-exchange volume executed against non-displayed liquidity has continued to climb.[3] Trading is fragmented across more than a dozen exchanges, and the resulting structure is complex and costly. On these points I agree with the Commission. The rule did not produce the lit, well-incentivized market it was meant to produce. If anything, liquidity has moved steadily in the opposite direction.

II. But Rescission Is the Wrong Remedy

Rule 611 is the single mechanism that ties execution prices across venues to the best displayed quotation. Remove it, and investor protection rests entirely on the duty of best execution. The Commission treats that duty, which is independent of Rule 611, as a sufficient substitute.[4] I respect the argument, but best execution is a principles-based, facts-and-circumstances standard enforced after the fact. It instructs a broker to seek favorable terms. It does not tie the prices of competing venues together, and it is not a structural price-discovery mechanism. The Commission frames rescission as letting competition and market forces shape the market rather than the rule.[5] The difficulty is that the market force the rule failed to harness, an incentive to display, is left exactly as broken after rescission as before. Removing the rule treats the complexity while abandoning the discipline, and it is likely to accelerate the flight to the dark rather than reverse it.

III. The Core Problem Is an Incentive and Agency Problem

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[2] Regulation NMS, Securities Exchange Act Release No. 51808 (June 9, 2005), 70 Fed. Reg. 37496 (June 29, 2005) (adopting Rule 611, the Order Protection Rule, as the centerpiece of Regulation NMS and stating that a principal goal was to incentivize the display of limit orders).
[3] Release No. 34-105655, supra note 1 (noting that off-exchange trading has regularly exceeded 50 percent of total volume since the end of 2024, and that the share of volume executed against non-displayed liquidity on exchanges has continued to rise).
[4] Id. (describing the broker-dealer duty of best execution as independent of Rule 611). The duty derives from common-law agency and fiduciary principles and is reflected in FINRA Rule 5310.
[5] See Statement of Chairman Paul S. Atkins, and Statement of Commissioner Hester M. Peirce, at the Open Meeting on the Trade-Through Rule and Locked and Crossed Markets Provisions of Regulation NMS (June 11, 2026) (framing the proposal as allowing competition and market forces, rather than the rule, to shape market structure).

The root issue is not the existence of dark trading. It is that the incentives to bring an order into the displayed market are too weak, and that the party choosing where an order goes is often not the party whose capital is at risk. Begin with the free-riding problem. A hidden or dark order can execute at the national best bid or offer, a price formed by some other participant who posted a displayed quote and bore the information leakage and adverse-selection risk of showing their hand. The dark venue then prints at that price having contributed nothing to forming it. Compounding this, a displayed order has no execution priority over a hidden order resting at the same price, so the participant who lights the market is not first in line.

It is fair to say that the maker-taker model does pay for displaying. On a typical lit exchange the participant that adds liquidity receives a rebate of roughly $0.0020 per share, while the participant that removes it pays an access fee capped at $0.0030 per share, with the exchange retaining the difference.[6] So displaying is not unrewarded. But a rebate of two-tenths of a cent is thin compensation for the adverse-selection cost of resting a visible quote, and it does little to make posting in the lit market more attractive than working an order in the dark. The point is not that lit display earns nothing. It is that, net of risk, it earns too little to pull liquidity into the light, and the scheduled reduction of the access-fee cap to $0.0010 per share will only narrow that margin further.

The deeper problem is one of agency. The broker-dealer, not the customer, ordinarily decides where an order is routed, and a broker-dealer that controls the flow has every reason to route for its own economics rather than the customer's result. Marketable retail orders are commonly sold to a small number of off-exchange wholesalers, such as Citadel Securities, Virtu, and Jane Street, in return for payment for that order flow, so the order is internalized and never reaches the displayed book at all.[7] A broker adding liquidity for its own account, in turn, has reason to send

[6] Under Rule 610(c) of Regulation NMS, the fee to access a protected quotation is currently capped at $0.0030 per share (30 mils) for stocks priced $1.00 or more, and exchanges fund their liquidity-provider rebates, commonly on the order of $0.0020 per share, out of that fee. The 2024 amendments reduce the cap to $0.0010 per share (10 mils); after the D.C. Circuit upheld the amendments in October 2025, the Commission extended the Rule 610(c) compliance date to the first business day of November 2026. See Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders, Release No. 34-101070 (Sept. 18, 2024); Cboe Global Markets, Inc. v. SEC, No. 24-1350 (D.C. Cir. 2025). Because the cap applies by its terms to protected quotations, rescinding Rule 611 would also unsettle its basis.

[7] Broker-dealers must disclose their order-routing practices and payment-for-order-flow arrangements under Rules 606 and 607 of Regulation NMS. Those disclosures show that

the order to whichever venue pays the richest rebate rather than the one that serves the client best. In each direction the routing decision can serve the intermediary instead of the investor, and in each direction it diverts flow away from the displayed market. Rescinding Rule 611 repairs none of this. It leaves the thin display incentive and the routing conflict exactly as they are, while removing the one mechanism that at least kept executions tethered to the best displayed quote. It treats the symptom and aggravates the disease.

IV. The Remedy: A Consolidated Lit Book With Strict Displayed-Order Priority

Rather than abolish protection, the Commission should rebuild it around one principle: displayed orders have strict priority at every price level. A non-displayed order may exist, but it can never trade at parity with or ahead of a displayed order at the same price. Dark has no priority. The mechanism follows in a straight line. If a dark order can never take priority at the protected price, the only way to secure execution at the top of the book is to display. Liquidity therefore migrates to the lit book, the public quote deepens, and price discovery improves. The available evidence from the Canadian and Australian reforms, which conditioned dark execution on price improvement and saw activity move toward displayed venues, points in the same direction, and a strict-priority rule should produce that migration more forcefully than a price-improvement condition that still lets a venue stay dark.[8]

This approach does not ban dark execution. It denies it priority. Anyone who wishes to hide an order may still do so. Hiding simply stops being a free ride on the displayed quote. Nor does size present an obstacle. A large order that wants immediate execution can sweep the displayed book across venues in a single action, exactly as intermarket sweep orders permit today. Because that sweep capability is itself a creature of Rule 611, a replacement framework should re-codify an equivalent sweep, so that institutions retain the ability to take displayed liquidity across all price levels at once. The common objection that strict priority would impair block trading therefore does not hold. Blocks already sweep the lit market, and nothing in this proposal changes that.

V. Tokenized Securities: Protection Should Follow the Asset, Not the Wrapper

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marketable retail order flow is routed in substantial part to a small number of off-exchange wholesalers rather than to displayed venues.

[8]See Sean Foley & Talis J. Putnins, Should We Be Afraid of the Dark? Dark Trading and Market Quality, 122 J. Fin. Econ. 456 (2016) (examining the Canadian (2012) and Australian (2013) reforms, which conditioned dark execution on meaningful price improvement, and the associated movement of activity toward displayed venues).

Much of the momentum behind rescission concerns tokenization. Market analysts have identified tokenization platforms as the most direct beneficiaries of removing Rule 611.[9] The reason is technical. Automated market makers price against their own liquidity pools and do not route to or reference the national best bid and offer, so Rule 611 operates as a legal barrier to trading tokenized equities on those venues.[10] That may be a reason to tailor how the rule applies to such venues. It is not a reason to strip protection from every publicly traded stock.

The right question is not whether an asset is wrapped in a token. It is what the asset is. If a token conveys the ownership and economic interest of a publicly traded NMS equity, it is that equity, and it should trade under the same displayed-priority discipline, whether on a blockchain or on a traditional exchange. The wrapper does not launder the asset out of its regulatory category. Conversely, assets that are not NMS stocks, such as tokenized bonds, tokenized real estate, fund interests, native digital assets, and purely synthetic instruments that merely track a price, were never within the national market system and require no trade-through protection, because there is no public equity quotation for them to free-ride upon. They should be free to trade by whatever mechanism the market chooses. This line is technology-neutral, and it tracks precisely where the free-riding harm can and cannot occur. It also avoids the outcome the proposal otherwise invites, in which the same underlying equity trades at materially different prices across tokenized and conventional venues, with persistent crossed markets and arbitrage between them, and the ordinary investor, who cannot see across venues, on the wrong side of the spread.

VI. Two Objections, Answered Honestly

The institutional objection, that denying dark orders priority would raise the market-impact costs of moving size, is answered by the sweep described above. Institutions are not forced to reveal size in advance; an order that wants certainty takes displayed liquidity across venues in one action, as it does today, while those who prefer to rest hidden remain free to do so without priority.

The retail objection is the more serious one, and I address it as someone whose clients are retail investors. Wholesalers today fill retail orders slightly inside the prevailing quote, and some will

[9] Benchmark Equity Research identified Securitize as the most direct potential beneficiary of rescission, citing its role as a regulated tokenization platform and issuer-infrastructure provider, and also named Coinbase and Galaxy Digital. See reporting in The Block (June 2026).

[10] Automated market makers execute against continuous pricing curves and liquidity pools rather than routed order books, and do not reference the national best bid and offer, which is why Rule 611 operates as a barrier to trading tokenized equities on such venues.

argue that strict displayed priority would remove that price improvement. I take the opposite view. The displayed spread is wide enough to improve upon precisely because two decades of internalization have drained the lit book of the very order flow that would tighten it. Direct that flow into the open and the public quote tightens, so the benchmark every investor trades against improves, including the investor who never interacts with a wholesaler. This is a second-order effect and the data are genuinely contested, so I offer it as reasoned judgment rather than settled fact. But the direction is clear. A market that rewards display produces a better public price, and a better public price serves the ordinary investor more durably than a small per-order rebate measured against a quote that internalization has hollowed out.

VII. Conclusion

The Commission is right that the present structure is broken. It is wrong that the answer is to remove the rule. The answer is to fix the incentive the rule failed to create. Reward displayed liquidity with strict priority, preserve an intermarket sweep so that size can still execute, keep trade-through discipline on every NMS equity including its tokenized form, and let genuinely non-NMS assets trade freely. That rebuilds price discovery rather than surrendering it. I respectfully urge the Commission to pursue that course rather than rescission, and I thank the staff for the roundtables that preceded this proposal and for the opportunity to comment.

Sincerely,

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